

investors.⁷ The transaction included 161 token transfers using Compound, dYdX, Aave, and Uniswap and cost over \$5,000 in gas fees.⁸ It involved flash loans of over \$200 million.

Smart contract programming still has a long way to go before best practices are developed and complex smart contracts have the resilience necessary to handle high-value transactions. As long as smart contract risk threatens the DeFi landscape, application adoption and trust will suffer as users hesitate to trust the contracts they interact with and that custody their funds.

GOVERNANCE RISK

Programming risks are nothing new. In fact, they have been around since the dawn of modern computing more than half a century ago. They are the sole threat to some protocols like Uniswap because the application is autonomous and controlled by smart contracts. Other DeFi applications rely on more than just autonomous computer code. For example, MakerDAO, the decentralized credit facility described earlier, is dependent on a human-controlled governance process that actively adjusts protocol parameters to keep the system solvent. This introduces *governance risk*, which is unique to the DeFi landscape.

Protocol governance refers to the representative or liquid democratic mechanisms that enable changes in the